

Muthoot Homefin (India) Limited

October 05, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Non-convertible debentures	SEBI	50.00	CARE AA+; Stable	Reaffirmed
Non-convertible debentures	SEBI	150.00	CARE AA+; Stable	Reaffirmed
Commercial paper	RBI	500.00	CARE A1+	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Reaffirmation of ratings assigned to the debt instruments of Muthoot Homefin (India) Limited (MHIL) continues to derive strength from its strong parentage through Muthoot Finance Limited (MFL), which has a well-established track record in the non-banking financial services sector. MHIL benefits from continued support from its parent through periodic equity infusions, access to funding lines, and operational, technological, and brand-related synergies. In FY26, MFL infused ₹200 crore of equity into MHIL, strengthening the company's capitalisation profile and financial flexibility. As a result, MHIL's tangible net worth (TNW) improved to ₹765 crore as on June 30, 2026, from ₹515 crore as on March 31, 2025.

Ratings also factor in MHIL's improving scale of operations, with assets under management (AUM) at ₹3,485 crore as on March 31, 2026, reflecting a year-on-year growth of ~17%. AUM further increased to ₹3,496 crore as on June 30, 2026. Ratings additionally consider the company's experienced management team, comfortable capitalisation levels, and demonstrated financial flexibility, supported by the Muthoot Group's strong resource mobilisation capabilities.

However, ratings remain constrained by the relatively weaker credit profile of the target borrower segment, moderate profitability levels, moderation in asset quality indicators, and geographic concentration in the loan portfolio

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Improvement in the credit profile of the parent, MFL.
- Significant improvement in the scale of operations while maintaining healthy asset quality and profitability.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Weakening of the parent's credit profile and/or major dilution in the shareholding and/or moderation in the support derived from the parent, MFL.
- Significant deterioration in the gross stage 3 assets (GS3).
- Increase in gearing levels beyond 6x.

Analytical approach: Standalone factoring linkages with the parent (MFL)

CARE Ratings Limited (CareEdge Ratings) has analysed standalone credit profile of MHIL and MHIL's linkages with its parent, MFL, in the form of operational, managerial, financial linkages and a shared brand name.

Outlook: Stable

The stable outlook reflects the expectation that MHIL will continue to benefit from the strong parentage of MFL through ongoing financial and operational support, aiding business growth and funding flexibility. The outlook further factors in the company's

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

²Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

ability to maintain healthy capitalisation, adequate profitability and a stable risk profile while scaling up its operations in the medium term.

Detailed description of key rating drivers

Key strengths

Strong parentage and benefits derived from being part of the MFL group

MHIL remains a wholly owned subsidiary of MFL as on June 30, 2026. Although relatively smaller in scale compared to its parent, the company continues to hold strategic importance within the Muthoot Group as its dedicated affordable housing finance platform. MHIL benefits from MFL's established brand franchise, strong managerial and operational oversight, funding support, and access to the group's shared branch infrastructure across geographies.

The parent demonstrated its commitment to the subsidiary through sustained capital support, with cumulative equity infusion aggregating ₹534 crore since inception, including an infusion of ₹200 crore in FY26. MHIL continues to have access to liquidity support through sanctioned credit lines from MFL, providing additional financial flexibility and supporting its growth plans. Given MFL's strong financial profile, extensive distribution network, and demonstrated track record of supporting the subsidiary, CareEdge Ratings expects MHIL to continue benefiting from financial, operational, and strategic support from MFL in the medium term.

MFL maintained a pan-India branch network of 7,568 branches as on March 31, 2026. On a consolidated basis, its AUM stood at ₹1,91,532 crore as on June 30, 2026, compared to ₹1,33,938 crore as on June 30, 2025. MFL's tangible net worth (TNW) stood at ₹38,884 crore as on March 31, 2026, against ₹29,130 crore as on March 31, 2025.

Comfortable capitalisation and gearing levels

MHIL's capitalisation profile strengthened significantly in FY26, supported by the equity infusion of ₹200 crore received from its parent, MFL. Consequently, the company's (TNW) increased to ₹761 crore as on March 31, 2026, from ₹515 crore as on March 31, 2025, and improved marginally further to ₹765 crore as on June 30, 2026.

MHIL's capital adequacy metrics remained comfortable, with the total capital adequacy ratio (CAR) and Tier-I CAR improving to 30.92% and 30.41%, respectively, as on March 31, 2026, compared to 23.16% and 22.63%, respectively, as on March 31, 2025. These levels remained well above the regulatory minimum requirements, providing adequate cushion to support future business growth and absorb potential asset quality shocks.

Supported by increase in net worth, the company's overall gearing improved to 3.19x as on March 31, 2026, from 4.08x as on March 31, 2025, and remained broadly stable as on June 30, 2026. Going forward, CareEdge Ratings expects MHIL's capitalisation profile to remain comfortable in the medium term, supported by internal accruals, and the demonstrated capital support by the parent, in times of need.

Experienced board and management team

MHIL continues to benefit from strong managerial linkages with MFL, reflected by the presence of three common directors, namely George Alexander Muthoot, George Thomas Muthoot, and K. V. Eapen, on boards of both entities. The company is supported by an experienced management team with significant expertise across retail lending, housing finance, and risk management. The senior management team has established processes across underwriting, collections, risk monitoring and treasury functions, which support the company's growth and risk management objectives.

Improving scale of operations

MHIL continued to expand its portfolio in FY26, with AUM increasing by 17% year-on-year to ₹3,485 crore as on March 31, 2026, from ₹2,985 crore as on March 31, 2025. AUM further increased to ₹3,496 crore as on June 30, 2026. However, the growth trajectory moderated compared to the 47% growth recorded in FY25. In FY26, total disbursements declined by ~20% to ₹994 crore from ₹1,242 crore in FY25. Moderation in business growth was primarily attributable to the company's strategic decision to discontinue sourcing through direct selling agents (DSAs) and increase its focus on branch-led sourcing. While this transition impacted near-term business volumes, it is expected to support better portfolio quality in the medium term.

The portfolio composition remains broadly stable, with home loans accounting for ~75% of AUM and loan against property (LAP) constituting the balance 25% as on June 30, 2026. MHIL primarily caters to the affordable housing segment through a granular

retail loan book, with loans above ₹10 lakh constituting ~75% of the portfolio and over ₹20 lakh segment accounting for the largest share at 33% of AUM. The portfolio risk profile remains comfortable, with ~81% of the portfolio carrying loan to value (LTV) below 80% and ~45% of the portfolio having LTV below 60% as on June 30, 2026. Going forward, the company intends to maintain a broadly similar product mix while focusing on prudent underwriting standards, portfolio quality and sustainable growth.

Key weaknesses

Moderate asset quality

MHIL's asset quality remains moderate with GS3 and net stage 3 assets (NS3) at 2.63% and 1.94%, respectively, as on March 31, 2026, compared to 1.17% and 0.46%, respectively, as on March 31, 2025. Moderation in asset quality was observed in FY26 mainly due to microfinance overlap with customers in Karnataka and Tamil Nadu and change in reporting of days past due by the company. However, supported by focused collection efforts and legal actions, asset quality indicators exhibited slight improvement in Q1FY27, with GS3 and NS3 declining to 2.52% and 1.69%, respectively, as on June 30, 2026.

As MHIL caters to customers in low-and-middle income segment in the informal sector, the quality remains susceptible to economic downturns. CareEdge Ratings expects the asset quality to remain moderately vulnerable in the near-term, although its healthy capitalisation acts as a cushion to absorb credit losses, while the parent support is likely to provide the necessary growth capital in times of need.

Moderate track record and geographically concentrated portfolio

MHIL has actively disbursed loans since August 2015, and the track record of business operations remains moderate. With majority disbursements taking place in the last three to four years, MHIL's loan portfolio remains relatively less seasoned. As on June 30, 2026, the company had a concentrated geographical presence in Maharashtra (33% of AUM), followed by Gujarat (9% of AUM) and Rajasthan (7% of AUM). However, the company is actively increasing its footprints in southern and northern India with entry into Uttarakhand and Chandigarh in FY25 and H1FY26, which would aid diversification. Per the management, the company has no plans to enter new states in the next one year; the focus is on deeper penetration in existing states.

Modest profitability

MHIL's profitability profile remained moderate in FY26, despite improvement in core operating metrics. The company's net interest margin (NIM) improved to 5.71% in FY26 from 5.07% in FY25, supported by higher portfolio yields and stable borrowing costs. Operating efficiency improved with operating expenses declining to 5.61% of average total assets in FY26 from 5.77% in FY25, aided by economies of scale despite continued investments in business expansion.

However, profitability was impacted by lower contribution from other income and higher credit costs in the year. Other income as a percentage of average total assets moderated to 2.43% in FY26 from 2.90% in FY25, while credit cost increased to 0.36% from a net write-back of 0.45% in FY25, owing to higher provisioning requirements following moderation in asset quality. Consequently, return on total assets (ROTA) moderated to 1.47% in FY26 from 1.68% in FY25.

Liquidity: Adequate

MHIL's liquidity profile remains adequate, supported by on-balance sheet liquidity and available funding lines. As on June 30, 2026, the company had cash and cash equivalents of ₹117 crore and investments of ₹35 crore. The liquidity profile is further supported by unutilised credit lines of ~₹921 crore, providing adequate liquidity cushion against its debt repayment obligations and growth requirements. The company's asset liability management (ALM) profile remained comfortable, with positive cumulative mismatches across all maturity buckets up to five years, supported by cumulative inflows from advances and available liquidity buffers.

Applicable criteria

[Definition of Default](#)

[Factoring Linkages Parent Sub JV Group](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Housing Finance Companies](#)

[Short Term Instruments](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Housing finance company

About the company

MHIL is a non-deposit taking housing finance company and has been registered with the National Housing Bank (NHB) on May 19, 2014. The company was incorporated on August 26, 2011, and is the wholly owned subsidiary of MFL, which is one of India's largest gold financing companies by loan portfolio. Accordingly, MHIL is part of the group with a legacy of serving customers for over 130 years. The company's AUM stood at ₹ 3,496 crore as on June 30, 2026 (March 31, 2026: ₹3,485 crore).

About the parent

MFL is a non-banking financial company (NBFC) originally set up as a private limited company in 1997 and reconstituted as a public limited company in November 2008. It provides finance against used household gold jewellery. The promoter family has been in this business for over eight decades. In the initial days, business was carried out under Muthoot Bankers, a partnership firm. MFL is the flagship company of the Muthoot group, where group also has presence in hospitality, healthcare, media, education, information technology, foreign exchange, insurance distribution, and money transfer businesses.

Brief Financials (₹ crore)	March 31, 2025	March 31, 2026	June 30, 2026
MHIL Standalone	(A)	(A)	(UA)
Total income	334	446	109
Profit after tax (PAT)	39	45	4
Assets under management (AUM)	2,985	3,485	3,496
On-book gearing (x)	4.08	3.19	3.20
AUM / tangible net-worth (TNW) (x)	5.80	4.58	4.57
Gross non-performing assets (NPA) / gross stage 3 (%)	1.17	2.63	2.52
Return on managed assets (ROMA) (%)	1.44	1.28	0.45*
Capital adequacy ratio (CAR) (%)	23.16	30.92	29.10

A: Audited; UA: Unaudited; *Annualised for the year; Note: FY25 are revised numbers; these are latest available financial results

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	Proposed	-	-	-	500.00	CARE A1+
Debentures-Non Convertible Debentures	SEBI	Simple	INE652X07134	31-May-2023	8.40%	30-May-2033	50.00	CARE AA+; Stable
Debentures-Non Convertible Debentures	SEBI	Simple	INE652X07126	20-Sep-2022	8.30%	20-Sep-2032	150.00	CARE AA+; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Commercial Paper-Commercial Paper (Standalone)	ST	500.00	CARE A1+	-	1)CARE A1+ (29-Dec-25)	1)CARE A1+ (03-Jan-25)	1)CARE A1+ (04-Jan-24) 2)CARE A1+ (29-May-23)
2	Debentures-Non Convertible Debentures	LT	50.00	CARE AA+; Stable	-	1)CARE AA+; Stable (29-Dec-25)	1)CARE AA+; Stable (03-Jan-25)	1)CARE AA+; Stable (04-Jan-24) 2)CARE AA+; Stable (29-May-23)
3	Debentures-Non Convertible Debentures	LT	150.00	CARE AA+; Stable	-	1)CARE AA+; Stable (29-Dec-25)	1)CARE AA+; Stable (03-Jan-25)	1)CARE AA+; Stable (04-Jan-24)

								2)CARE AA+; Stable (29-May- 23)
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LT: Long term; ST: Short term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact Mradul Mishra Director CARE Ratings Limited Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in	Analytical Contacts Vineet Jain Senior Director CARE Ratings Limited Phone: +91-22-6754 3500 E-mail: Vineet.jain@careedge.in
Relationship Contact Pradeep Kumar V Senior Director CARE Ratings Limited Phone: 044-28501001 E-mail: pradeep.kumar@careedge.in	Hardik Manharbhai Shah Director CARE Ratings Limited Phone: +91-22-6754 3591 E-mail: hardik.shah@careedge.in
	Akansha Akshay Jain Associate Director CARE Ratings Limited Phone: +91-22-6754 3491 E-mail: akansha.jain@careedge.in

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